

Table 54.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the height of the pattern from the horizontal line on top to the bottom of the V. For upward breakouts, add the height to the breakout price (the top of the pattern). For downward breakouts, subtract the height from the breakout price (where price closes outside the right trendline). The result is the target price. Ignore results at or below zero. Larger percentage moves will be unlikely. The bottom portion of the table shows how often the measure rule works.
Stop location	Place a stop at the location of your choice, using the results in Table 54.7 as guidance.
Busted trade	If you find a pattern with a busted downward breakout, then consider buying the stock and riding the recovery. See Table 54.9 for help.
Quick rise, decline	If price makes a steep move leading to the start of the inverted roof and price breaks out downward, in some cases, price may return to just above the launch price. The Sample Trade discusses an example.

Description	Up Breakout	Down Breakout
Percentage reaching half height target	79%	63%
Percentage reaching full height target	65%	47%
Percentage reaching 2× height	49%	23%
Percentage reaching 3× height	37%	13%

Stop location. Use [Table 54.7](#) to help determine where to place a stop-loss order. This is most important for swing traders or other short-term traders and less important for investors and people who buy-and-hold.

Be sure to determine if you can live with a loss given the stop location. Adjust the stop as necessary to minimize the size of a potential loss and the probability of being stopped out.